VILLAGER PRO

Your First Commercial Budget

The Working Producer's Guide to AICP

Published by Villager Pro | villagerpro.io

CONTENTS

1. Introduction
2. How the Commercial Production Industry Actually Works
3. What Is AICP and Why It Matters
4. The Full Anatomy of an AICP Budget
5. Understanding Fringes and Payroll Taxes
6. Building Your First Budget From Scratch
7. Pricing Yourself: Day Rates, Markups, and Production Fees
8. How to Read a Bid Like an Agency Does
9. Working Direct-to-Brand
10. The Bid-to-Actual Process
11. The Most Common Mistakes (and How to Avoid Them)
12. How to Find Work as a Producer or Filmmaker
13. What a Winning Bid Looks Like
14. Quick-Start Kit and Checklist
15. A Note on Villager Pro

CHAPTER ONE

Introduction / A Note From Villager Pro

We have spent years pitching, winning, losing, and producing commercial work. We have quoted jobs that were too low, built budgets that were too high, won bids we wish we hadn't, and lost ones we wish we had. We have sat across from agency producers who knew exactly what every line item meant, and we have worked with brand managers who had no idea why a camera package costs what it does. We have hired crew who undersold themselves and crew who oversold themselves. We have made every mistake in this book at least once.

That accumulated experience is what we're handing you here.

The experience behind this guide comes from Farallon Films -- a Bay Area production company in our network. We produce work for agencies and direct-to-brand clients across consumer goods, technology, food and beverage, nonprofit, and regional advertising. We pitch multiple commercial jobs per month, and we produce dozens of them per year, ranging from a few thousand dollars to well into six figures.

We are not the biggest shop in the country. We are not a celebrity-director house with a roster of talent and a retainer from a global holding company. We are a working production company that builds real budgets, manages real crews, and delivers real work under real pressure. That is exactly what qualifies us to write this guide.

The commercial production industry has an information problem. The people who know how it works learned by doing it, often painfully, and the knowledge tends to stay inside companies and agencies rather than circulating freely. There is no widely available guide that explains the AICP budget format in plain language, tells you what current crew rates

actually are, explains fringes in a way that doesn't make your head spin, and addresses what it's really like to produce work for a brand that has never hired a production company before.

This guide is that thing.

We wrote it for the DP who just produced their first commercial and has no idea how to structure a bid. We wrote it for the director who wants to start packaging and selling their own work instead of waiting for someone else to hire them. We wrote it for the production coordinator who is ready to move up. We wrote it for the person who googled "AICP budget" at 11pm and found nothing that actually explained it.

A few things to keep in mind as you read:

Rates and costs vary by market. New York and Los Angeles are the two most expensive production markets in the country. The Bay Area, Chicago, and Boston are close behind. Secondary markets like Denver, Austin, Atlanta, and Seattle are meaningfully cheaper. The numbers in this guide skew toward mid-to-large markets. If you are working in a smaller market, adjust down by 15 to 30 percent in most crew categories.

This guide covers both union and non-union production. Union work introduces specific contract obligations, fringe structures, and pension and health contributions that add significant cost. We will explain the differences throughout.

We are not attorneys, and nothing in this guide is legal advice. Contracts, talent agreements, and licensing arrangements should be reviewed by someone who is actually licensed to practice law.

With that, let's get into it.

CHAPTER TWO

How the Commercial Production Industry Actually Works

Before you can build a commercial budget, you need to understand the system you're operating inside. The commercial production world has its own logic, its own hierarchy, and its own flow of money. If you're coming from documentary, narrative film, or corporate video, some of this will feel familiar. Most of it will feel different.

THE BASIC STRUCTURE

At the top of the commercial production food chain is the brand: a company with something to sell and an advertising budget to spend on selling it. Brands range from Fortune 500 companies with multi-million dollar annual ad budgets to regional businesses running a single campaign.

Most brands do not buy production directly. They hire advertising agencies. The advertising agency's job is to develop creative concepts for the brand, plan how and where those concepts will be distributed (which channels, which placements, what schedule), and oversee the execution of the creative work. The production of video content is a subset of the agency's scope of work.

When a brand needs a commercial produced, the agency's internal creative team typically develops the concept. The agency then goes out to production companies to actually make the thing. That process is called a bid, and we will spend considerable time on it throughout this guide.

The money flows like this: Brand pays agency. Agency takes a portion for their work (the retainer, the service fees, the media commission). Agency allocates a production budget to the project. Production company receives that budget (minus whatever the agency keeps for oversight, sometimes called an agency commission or handling fee) and produces the work.

THE AGENCY STRUCTURE

Understanding how agencies are organized helps you understand who you will be talking to and what they care about.

At most agencies, the people you interact with are:

The Creative Team. Typically a Creative Director plus Art Directors and Copywriters. They developed the concept. They have a vision for what the spot should look like and feel like. On set, they are the people with opinions about everything -- the actor's hair, the color of the prop, the lens choice, the pacing of the cut. They are not always paying attention to the budget. Their job is to protect the creative.

The Agency Producer. This is your primary counterpart at the agency. The agency producer is responsible for managing the production from the agency side: overseeing the bid process, reviewing the budgets, negotiating with production companies, tracking costs, and making sure the work gets delivered on time and on spec. A good agency producer is a tremendous ally. A bad one is an obstacle. Most are somewhere in between. The agency producer is the person who will scrutinize your budget line by line.

The Account Team. These are the people who manage the brand relationship. The Account Director or Account Manager is the day-to-day liaison with the client. They care about keeping the client happy, staying on strategy, and not blowing the timeline. They may or may not be involved in production details, but they are usually the reason you get specific, sometimes confusing requests ("the client needs to see this in 9:16 too").

Some agencies also have a Business Affairs department that handles contracts, talent agreements, and usage rights. On smaller or boutique agencies, these functions are often consolidated into fewer people.

HOW JOBS FLOW FROM BRAND TO PRODUCTION COMPANY

Here is the typical sequence of events for an agency-produced commercial:

1. The brand briefs the agency. The agency receives a creative brief from the brand that describes the campaign goals, the target audience, the message, the budget (often a rough range), and the timeline.

2. The agency develops concepts. The agency's creative team develops one or more concepts in response to the brief. These concepts are presented to the brand and eventually one (sometimes two) is approved for production.

3. The agency produces a treatment request. Once a concept is approved, the agency reaches out to production companies to solicit bids. This is called a Request for Bid (RFB) or sometimes a Request for Proposal. The treatment request includes the creative concept (often in the form of a script or storyboard), any relevant references, and specific bidding requirements.

4. Production companies respond with treatments and budgets. Selected production companies typically submit two things: a creative treatment (the director's vision for how to bring the concept to life) and a budget. We will discuss both in depth later in this guide.

5. The agency awards the job. The agency reviews the submissions, often presents them to the client, and selects one production company. Sometimes they negotiate on price after selection. Sometimes they select based on the combination of creative vision and budget.

6. Pre-production begins. Once the job is awarded, the production company moves into pre-production: locking locations, booking crew, casting talent, securing equipment, and aligning all the details with the agency's creative team.

7. Production. The shoot happens.

8. Post-production. Editing, color, audio, graphics, and delivery.

9. Delivery and wrap. The finished product is delivered to the agency, the agency delivers to the brand, and the production company finalizes its cost reports and invoicing.

THE BIDDING PROCESS IN MORE DETAIL

When an agency sends out a bid request, they typically contact two to four production companies, sometimes more. The number varies based on the agency's process and the size of the job. On larger national campaigns, three-way bids are common. On smaller regional projects, sometimes only two companies are invited.

You may not know who else is bidding. Agencies often keep this information private, partly to encourage each company to put forward their best work and best price without gaming their bid against a competitor's known rates.

The timeline from bid request to award is typically 3 to 10 business days. On larger, more complex jobs, it might be two weeks. On rush projects (which are more common than anyone would like), it might be 24 to 48 hours.

This timeline matters because building a thorough budget requires time. If you are not organized and fast, you will either miss the deadline or submit something sloppy. One of the core competencies of a commercial producer is the ability to build an accurate, complete budget quickly.

HOW THE AGENCY GETS PAID (AND WHY IT AFFECTS YOU)

Historically, advertising agencies were paid on commission -- typically 15 percent of the total media spend. That model has shifted significantly. Most agencies today operate on a fee-based retainer model, where the brand pays a fixed fee for the agency's services. Some agencies still take a percentage of production budgets as a handling or oversight fee. This fee is sometimes disclosed, sometimes not.

When an agency quotes a production budget to a client, they often add a percentage on top of the production company's budget. This markup can range from 10 to 35 percent depending on the agency and the client relationship. This means the brand is paying

more than the production company receives. As a production company, you are not always privy to this number. What you know is what the agency tells you the production budget is. Your job is to produce the work within that number.

DIRECT-TO-BRAND: THE OTHER PATH

Not all commercial work flows through agencies. An increasing number of brands -- particularly mid-size and regional companies, as well as direct-to-consumer brands built on digital marketing -- hire production companies directly, without an agency in the middle.

Direct-to-brand work has significant advantages and significant risks. We dedicate a full chapter to it later (Chapter Nine) because it is one of the most important and least-discussed areas of commercial production for independent producers and filmmakers. For now, understand that it exists, it is growing, and the rules are different.

THE ROLE OF A LINE PRODUCER

You may hear the title "line producer" and wonder where it fits. In the commercial world, the line producer is the person who builds and manages the budget, oversees logistics in pre-production, and is on set managing the day-to-day operation. The line producer is responsible for making the shoot happen within the agreed budget.

On smaller productions, the producer and line producer may be the same person. On larger productions, there may be a producer (who manages client and agency relationships, handles creative alignment, and leads strategy) and a separate line producer (who focuses on the operational and financial side). If you are a freelance producer trying to grow, the line producer function is a natural entry point because it is where the budget lives.

A NOTE ON PRODUCTION SERVICE COMPANIES

In some markets and situations, a production company will hire a production service company to handle local logistics -- particularly on location shoots in cities or countries where the primary production company doesn't have infrastructure. Production service

companies provide local crew, facilities, permits, and on-the-ground support. If you are a local producer or production company, this is sometimes how out-of-market work finds you.

CHAPTER THREE

What Is AICP and Why It Matters

AICP stands for the Association of Independent Commercial Producers. Founded in 1972, it is the primary trade organization representing production companies that make commercials in the United States. Its membership includes over 400 companies ranging from small boutique shops to some of the largest and most recognizable production houses in the industry.

AICP's influence on the industry extends in several directions. It advocates on legislative and regulatory matters that affect producers. It provides education and professional development resources. It produces award shows and industry events. And, most relevant to this guide, it developed and maintains the standardized bid form that has become the universal language of commercial production budgeting in the United States.

THE AICP BID FORM

The AICP bid form is a standardized budget template that breaks a commercial production into defined sections, each covering a specific area of costs. Every section has a set of line items with established labels. The format is consistent across production companies, which means that when an agency receives bids from three different companies, they can compare them apples-to-apples -- same section, same line item, across all three bids.

This standardization is not incidental. It is the point. Before a common format existed, comparing bids was a subjective, confusing process. The AICP form brought structure to the industry and made the bidding process more transparent and efficient.

The AICP form has evolved over time. The most recent major update expanded the post-production sections significantly, reflecting the growing complexity of digital post, visual effects, and multi-format delivery. Sections A through N were largely retained from the original format, while sections beyond that were updated and expanded. Most working producers and agency producers are deeply familiar with the traditional sections and work from them fluently.

WHY THIS MATTERS EVEN IF YOU ARE NOT AN AICP MEMBER

You do not need to be an AICP member to use the AICP budget format. The format has become a de facto industry standard, and agencies expect bids to be submitted in this format regardless of whether the production company is an official member.

If you submit a bid in a different format -- even if the total number is right -- you are immediately signaling that you are either new to the industry or not professional enough to follow standard practice. Neither impression serves you well. Learn the format. Use the format.

AICP MEMBERSHIP ITSELF

Membership in AICP is available to production companies. Benefits include access to industry resources, templates, legal and business affairs support, and events. Annual dues vary based on company revenue. For a small production company or a freelance producer starting out, AICP membership may not be an immediate priority, but it is worth knowing about as you grow.

THE AICP SIGNATORY STATUS

Separately from general membership, production companies can be AICP signatories with specific union contracts. Being an AICP signatory means the company has agreed to abide by the terms of union agreements -- including the AICP/SAG-AFTRA commercial contract for on-camera talent and, in some cases, IATSE agreements for crew. Signatory status matters when you are producing union jobs. We will come back to this in the chapters on fringes and pricing.

WHAT THE AICP FORM COVERS

The AICP form covers:

Above-the-line costs (director fees, creative talent) Pre-production and wrap costs Shooting crew Location and travel Props, wardrobe, animals, and specialty items Equipment Film, lab, video, audio, and digital (capture/media) Miscellaneous production costs Post-production (editing, color, audio, graphics, delivery) Markup and production fee Insurance Talent and residuals (on-camera performers)

Each of these areas is broken down into specific line items. We will walk through all of them in the next chapter.

CHAPTER FOUR

The Full Anatomy of an AICP Budget

The AICP budget is organized into lettered sections. Each section groups related costs. When you are building a budget, you fill in each section completely before moving to the next. When you are reading someone else's budget, you know exactly where to find each category of cost.

Here is a complete breakdown of each section, what belongs in it, and how to think about it.

SECTION A: PRE-PRODUCTION AND WRAP COSTS (CREW)

Section A covers the labor costs associated with preparing for the shoot and wrapping it afterward. These are not shooting-day costs -- those belong in Section B. Section A is specifically about the work that happens before and after the camera rolls.

Common line items in Section A include:

Producer (Pre-Production Days). The line producer's time spent building the budget, coordinating with the agency, booking crew and vendors, scouting locations, and managing logistics before the shoot. On a one-day commercial with a week of prep, this might be 5 to 7 prep days. On a larger campaign with complex logistics, it could be 15 or more.

Director (Pre-Production Days). The director's prep time -- meetings with the agency, prep calls, location scouts, casting sessions, and creative development. On union jobs, director prep rates are defined by contract. On non-union jobs, director prep days are often billed at a per-day rate that may be lower than the shoot day rate.

Production Manager (Pre-Production Days). If you have a dedicated production manager or UPM, their prep time goes here.

Art Director (Pre-Production Days). The art director's time designing the look of sets, sourcing props, coordinating with the set decorator and prop stylist.

Wardrobe Stylist (Pre-Production Days). Shopping, sourcing, and prep days for the wardrobe stylist before the shoot.

Other Crew Prep and Wrap. Any crew member who works pre-production or wrap days has their prep and wrap labor listed in Section A. This includes production coordinators, production assistants who handle pre-production logistics, and specialty crew who need prep days.

Wrap costs -- production days spent at the end of the job to return rentals, organize receipts, deliver final reports, and handle post-production handoff tasks -- also live in Section A.

HOW TO ESTIMATE SECTION A

Rule of thumb: for a one-day commercial, budget at least 5 days of producer prep. For a 2-day shoot, budget 7 to 10. For a complex multi-location shoot, budget accordingly. Art and wardrobe typically need at least 2 to 3 shopping or prep days before any shoot.

Wrap time is often underestimated. Budget at least 2 to 3 days for the producer and coordinator to finalize the cost report, collect all receipts, return rentals, and close out the production. On larger jobs, this can extend to a full week.

SECTION B: SHOOTING CREW

Section B is where you list the labor costs for every crew member on the actual shoot days. This is typically the largest or second-largest labor section of the budget, depending on how much talent (Section I) you have.

The standard approach: for each crew member, you list their day rate and the number of days, and the section totals the gross labor. Fringes (payroll taxes, pension and health contributions if union) are then applied as a percentage. We cover fringes in depth in Chapter Five.

Common crew positions in Section B include:

ABOVE THE LINE / CREATIVE

Director of Photography (DP/Cinematographer). On a commercial production, the DP is responsible for the visual execution of the director's vision. They choose lenses, set exposure, work with the gaffer on lighting design, and ultimately control what the camera sees and how. Commercial DP rates vary widely by market and experience level. In major markets (LA, NYC), non-union commercial DPs typically command $1,200 to $2,800 per day. Senior, established DPs in those markets can command $3,000 to $5,000 or more. In secondary markets, expect $800 to $1,800 for experienced non-union DPs. Union IATSE DPs (typically Local 600, the International Cinematographers Guild) have contract minimum rates that as of 2025 typically range from about $2,200 to $3,500 per day for commercial production, though many work above scale.

1st Assistant Director (1st AD). The 1st AD runs the set. They manage the schedule, keep production moving, and are the communication hub between departments. On a commercial, the 1st AD is indispensable. Non-union rates in major markets typically run $900 to $1,600 per day. Union (IATSE Local 161 in New York, or via DGA on some productions) rates are higher.

CAMERA DEPARTMENT

1st Assistant Camera (1st AC / Focus Puller). The 1st AC is responsible for focus, lens changes, camera maintenance, and building the camera package. Good focus pulling on a commercial can make or break a shot. Non-union rates: $600 to $1,200 per day in major markets. Many 1st ACs also charge a camera prep fee and a camera wrap fee.

2nd Assistant Camera (2nd AC / Clapper/Loader). The 2nd AC handles slates, media management (downloading and logging cards), batteries, and assists the 1st AC. Non-union rates: $400 to $750 per day.

Digital Imaging Technician (DIT). On productions that are shooting in a RAW format with on-set color work or live monitoring, the DIT manages the data pipeline and maintains the look on set. Non-union rates: $500 to $1,200 per day. Not every commercial requires a DIT; it depends on the workflow.

GRIP AND ELECTRIC DEPARTMENTS

Gaffer (Chief Lighting Technician). The gaffer executes the lighting plan in collaboration with the DP. They lead the electric department. On a commercial, a good gaffer is worth every dollar. Non-union rates in major markets: $700 to $1,400 per day. Most gaffers charge a kit fee (their personal equipment: light meters, small utility lights, rigging tools, and so on), typically $75 to $200 per day.

Best Boy Electric. The gaffer's key assistant, managing the electric department's equipment and crew. Non-union rates: $500 to $900 per day.

Electricians / Lamp Operators. The crew who set and rig the lights. Rate: $350 to $600 per day non-union.

Key Grip. The key grip leads the grip department -- responsible for rigging, stands, flags, diffusion, camera support, and anything that doesn't directly involve electricity. Non-union rates: $600 to $1,100 per day, plus kit fee.

Best Boy Grip. The key grip's assistant. $450 to $850 per day non-union.

Grip / Company Grip. Additional grips on the floor. $300 to $550 per day non-union.

Dolly Grip. On productions using a dolly or camera movement system that requires a dedicated operator. Non-union rates: $600 to $1,000 per day.

SOUND DEPARTMENT

Production Sound Mixer. Responsible for recording all audio on set. On many commercials, especially dialogue-heavy ones, audio quality matters enormously. Non-union rates: $700 to $1,400 per day. Sound mixers almost always charge a kit fee for their mixing gear, boom poles, wireless systems, and so on. Kit fees for sound are significant -- typically $200 to $500 per day -- because the equipment is substantial. Do not forget the kit fee when you are budgeting sound.

Boom Operator. Handles the boom microphone. On smaller productions, the sound mixer may work alone. On anything with dialogue and multiple subjects, you want a boom op. Non-union rates: $350 to $650 per day.

ART DEPARTMENT

Production Designer / Art Director. Responsible for the visual design of sets, locations, and overall look of the production. On narrative-heavy commercials, the production designer plays a critical role. On simpler product shoots, you might just have a set stylist or prop stylist instead. Non-union rates for experienced commercial art directors: $700 to $1,400 per day.

Set Decorator. Works under the production designer to dress and detail sets. $500 to $900 per day non-union.

Prop Stylist / Prop Master. Manages and sources all props. $500 to $1,000 per day non-union.

Set PA / Art PA. Production assistants who help the art department on set. $250 to $400 per day.

HAIR AND MAKEUP

Hair Stylist / Makeup Artist. On most talent-forward commercials, you will have at least one HMU (hair and makeup) artist. On productions with multiple talent or celebrity talent, you will have more. Many HMU artists work both hair and makeup; on larger productions, they are split. Non-union rates: $500 to $1,000 per day. HMU artists often have a kit fee of $50 to $150 per day for their supplies.

Wardrobe Stylist. Dresses the talent on shoot day, manages changes, and keeps wardrobe organized throughout. $500 to $1,000 per day non-union. Also charges a kit fee for steamer, garment bags, and specialty items, typically $50 to $150 per day.

PRODUCTION MANAGEMENT ON SET

Production Manager. If you have a dedicated PM separate from the line producer, they may have shoot-day involvement, especially on larger productions. $700 to $1,200 per day non-union.

Production Coordinator. Handles logistics, communications, and tracking on a day-to-day basis throughout production. On the shoot day, they are managing transportation, communication, and on-the-fly problem solving. Non-union rates: $500 to $800 per day.

Production Assistant (PA). The engine of any production. PAs handle everything from locking up locations to running craft service to assisting every department with whatever needs doing. Non-union rates: $250 to $400 per day. You typically budget multiple PAs per shoot day.

SPECIALTY CREW

There are many additional crew positions that may appear in Section B depending on the nature of the production:

Teleprompter Operator. For spots with scripted on-camera delivery. $500 to $750 per day non-union, plus equipment.

Drone Operator. For aerial footage. Licensed operators run $800 to $2,000 per day. Equipment is usually included in their rate but confirm.

Steadicam Operator. For stabilized moving camera work. $900 to $1,800 per day plus their camera stabilizer rig, which may be rented separately.

Motion Control Operator / Technician. For precise, repeatable camera movements, typically for product shots. Specialized and more expensive.

Pyrotechnician / Special Effects Coordinator. For any on-set practical effects -- fire, smoke, breakaway materials. Requires permits and specialized insurance.

Still Photographer / Behind-the-Scenes. Often a client requirement. $800 to $1,500 per day non-union.

Video Assist Technician. Manages the video playback system so the director and agency can monitor takes. $500 to $900 per day plus equipment.

SECTION C: LOCATION AND TRAVEL

Section C covers all costs related to the physical location where you shoot, and all travel for crew and equipment.

Location Fees. The fee paid to the owner of a location for the right to film there. Location fees vary enormously: a private home might be $1,500 to $5,000 per day. A commercial building or office space might be $2,000 to $10,000 per day. Purpose-built studio locations or unique environments command more. Some public locations require permits with fees. Location fees are negotiated directly and are highly variable.

Location Manager Fee. The person who scouts, negotiates, and secures your locations. On non-union commercial productions in major markets, location managers charge $600 to $1,200 per day. Their scout and prep days are in Section A; their shoot-day work goes in Section B (though some budgets keep all location manager costs in Section C for clarity).

Location Permits. City and county filming permits. Varies by jurisdiction. Major cities like Los Angeles, San Francisco, and New York have established permit processes with set fees. Expect $200 to $800 for a basic street permit; complex permits in high-traffic areas can cost more.

Parking. For crew vehicles, trucks, and production vehicles at and near the location. Budget realistically -- this is a line item people consistently underestimate, especially in urban markets. $200 to $1,000 per day depending on location and crew size.

Location Survey / Scout Mileage. Fuel and mileage reimbursement for location scouting trips.

Police / Fire / Security. Some locations require a police detail or fire safety officer. These are non-negotiable costs when required. Police overtime rates in major markets run $75 to $150 per hour per officer, often with a minimum call. Budget accordingly.

Sanitation / Portables. Portable restroom trailers for locations without adequate facilities. $300 to $800 per day depending on size and market.

Trash Removal / Clean-Up. Budget a line for location restoration and cleanup if required.

TRAVEL

If your production involves any travel for crew, talent, or equipment, it all lives in Section C.

Airfare. Actual cost or estimated cost per person.

Hotel. Per room, per night. Most agencies expect you to budget reasonable hotels, not luxury. $150 to $250 per room per night for most markets. Hotel costs add up fast on a remote shoot with a full crew.

Per Diem. A daily cash allowance for meals and incidental expenses when crew or talent is traveling away from their home base. The federal GSA per diem rate is a common reference point; in 2025, the base rate was $59 per day for meals, though many productions pay $75 to $100 per day. Confirm what your agency client expects.

Car Rental / Vehicle Rental. Crew vans, production vehicles, production manager car rental. Get actual quotes from rental companies in the production city.

Mileage Reimbursement. For crew using personal vehicles. The IRS standard mileage rate as of 2025 is 67 cents per mile. Use this as your reference unless a different rate is specified.

Freight / Shipping. If equipment or specialty props need to be shipped. Production trucks, grip trucks, and equipment vans for local productions are typically included in equipment rental (Section E).

Production Truck / Equipment Vehicles. The rental of trucks and vehicles for moving grip, electric, and camera gear. May appear here or in Section E depending on how the budget is structured.

SECTION D: PROPS, WARDROBE, ANIMALS, AND SPECIAL EQUIPMENT

Section D covers items that are purchased or rented specifically for use in the production -- not crew tools or equipment (that's Section E), but the physical objects that appear on screen or support the creative.

Props. Everything that appears in the spot that isn't architecture or a set piece -- food, hero products, vehicles, hand-held items, specialty objects. Budget separately for prop purchases (which may be returnable to the store or may not be) and prop rentals (from prop houses). Do not forget the cost of hero prop prep, cleaning, or modification.

Food Styling. If your commercial involves food, budget separately for a food stylist and for food supplies (multiple rounds of hero product for multiple takes). Food stylists in major markets charge $700 to $1,500 per day plus expenses. The supplies for food styling can be substantial -- for a hero food product spot, budget $500 to $3,000 or more in food purchasing alone.

Wardrobe. The clothing worn by on-camera talent. Budget for purchases (often from a retailer where items can be returned), rentals from costume houses, and any specialty items that need to be made or sourced.

Wardrobe Expendables. The consumables that wardrobe stylists use: lint rollers, safety pins, fabric tape, steaming supplies.

Animals and Handlers. If your production includes animals, the cost of the animal wrangler or trainer and the animals themselves goes here. Animals are expensive and unpredictable. Budget generously and build in extra shooting time.

SECTION E: STUDIO AND EQUIPMENT

Section E covers the facilities and gear used in production.

Studio Rental. If you are shooting in a production studio rather than (or in addition to) a practical location, the studio rental cost goes here. Studio rates vary by market and by studio. In Los Angeles, mid-size stages run $2,500 to $8,000 per day. In secondary markets, comparable spaces run $1,000 to $4,000.

Set Construction. If you are building a set, Section E covers the cost of construction: materials and labor. A simple constructed set for a commercial can run $5,000 to $50,000 depending on complexity. Custom builds for highly art-directed spots can run well beyond that.

Camera Package Rental. The camera body, lenses, accessories, and all associated camera gear. On commercials, camera packages are almost always rented from equipment houses (not owned by the DP, typically). Rental costs vary based on camera system and accessories. A base package with a cinema-grade camera (ARRI Alexa, Sony Venice, RED Monstro, etc.) and a standard lens set will typically run $1,000 to $4,000 per day in major markets, or $3,000 to $12,000 per week. Higher-end packages with specialty lenses, zoom lenses, and accessories add cost quickly.

Lens Rentals. Sometimes broken out separately from the camera body. Specialty lenses (vintage primes, anamorphic sets, macro lenses, specialty zooms) add to the package cost.

Lighting Package. Grip and electric equipment: HMI lights, LED fixtures, tungsten sources, grip stands, flags, diffusion, rigging hardware. For a medium-sized commercial shoot, a lighting and grip package might run $800 to $2,500 per day or $2,500 to

$8,000 per week from a rental house. Many gaffers and key grips own portions of this gear and offer it as a kit rental in addition to their day rate; in that case, it may appear in Section B as part of their kit fee.

Grip Equipment. Dollies, sliders, jibs, cranes, camera cars, and other motion-control gear. A basic dolly and track rental might be $300 to $600 per day. A full camera car with operator is significantly more expensive.

Playback / Video Village. The monitor cart and cables that allow the director, agency, and client to monitor the camera output in real time. $200 to $500 per day for a basic setup; more for multi-monitor configurations.

Walkie Talkies and Communication. The radios that hold a production together. A set of 10 radios with chargers: $200 to $400 per day.

Generator. If the location doesn't have adequate power for your lighting setup, you need a generator (genny). Generator rental: $300 to $800 per day for a mid-size unit. Factor in fuel costs.

SECTION F: FILM, LAB, VIDEOTAPE, AUDIO, AND DIGITAL

This section covers all media and data management costs. In the digital era, this is primarily about:

Camera Media (Cards, Drives). The recording media used on set. Memory cards and CFast/CFexpress cards are typically purchased new for each production and may or may not be returned. Budget the actual cost.

Data Management. Downloading, copying, verifying, and backing up all footage from the shoot. On a digital production, this should be done in real time by a DIT or dedicated data wrangler using a RAID system. The cost of external drives for backup goes here: plan on at least two copies of all media, and often three. Hard drives: $80 to $200 per drive depending on capacity.

Raw Stock / Lab. If shooting on film (35mm or 16mm), this section covers the cost of raw film stock and lab processing. Film has had a genuine resurgence in commercial production for certain aesthetics. Lab processing and telecine/scanning add significant cost. A 400-foot roll of 35mm costs roughly $150 to $200 for stock alone, and lab processing plus a basic 2K scan might add another $100 to $200 per roll.

Audio Playback. If your production involves any choreography to music, or if you need to play back audio on set for performance reference, the cost of that playback system and any licensed audio goes here.

SECTION G: MISCELLANEOUS

Section G is the catch-all for production costs that don't fit neatly into other categories. Some producers use it liberally; others prefer to work hard to place every cost in the right specific section.

Common Section G items:

Craft Service. Food and beverages available to the crew throughout the day. Not the catered meal (that's below) -- craft service is the snack station, the coffee, the fruit, the granola bars. Budget $15 to $30 per person per day for a reasonable craft service spread. Do not underestimate this. Hungry crews move slower and are less happy.

Catering / Meals. Hot meals for the crew, typically breakfast and lunch for a full shoot day. Catering costs in major markets run $30 to $60 per person per meal. Budget for crew + agency + clients + a few extras. On a 15-person shoot with agency and clients, you might be feeding 20+ people.

Office Expenses. Any office or administrative costs associated with the production: printing, copying, supplies, courier services.

Telephone and Communication. Long-distance calls, production phone usage, any additional communication costs.

Shipping and Messenger. Deliveries of scripts, contracts, props, or any other materials during pre-production.

Production Expendables. Tape, gels, diffusion material, and other materials that are used and consumed during production. Most gaffers and key grips have these as part of their kit; budget a separate line if yours do not.

Parking and Tolls. Any additional parking costs not already covered in Section C.

SECTION H: DIRECTOR/CREATIVE FEES

Section H isolates the director's fee from the rest of the crew costs. This is intentional: agencies and clients want to see the director's compensation separately. In many agencies, the decision of how much to pay the director is made at a different level than the below-the-line crew decisions.

Director's Fee. On the AICP form, this is typically structured as:

Prep fee (all pre-production days) Travel day(s) if applicable Shoot day fee(s) Post-production supervision days if applicable

Director fees in commercial production have an enormous range. A new director with a limited reel doing a regional spot might charge $2,000 to $5,000 for the job. A mid-level director with a solid commercial reel doing a national campaign might command $15,000 to $50,000. Top-tier commercial directors with strong agency relationships and award-show credits can command $100,000 or more per project.

On union productions with a DGA-represented director, minimum rates are set by the DGA commercial agreement.

When you are a director-producer building your own projects, your director fee is the way you pay yourself for the creative contribution. Do not leave it out of the budget.

Executive Producer Fee. If there is an executive producer on the project -- which there often is, either as a partner in the production company or as a freelance EP -- their fee may appear in Section H or in Section A depending on how the budget is structured. EP fees are typically a percentage of the total production budget, or a flat day rate. On commercial productions, EP fees range from 3 to 8 percent of total production cost, or flat fees of $2,500 to $15,000+ depending on the scope of the job.

SECTION I: TALENT (ON-CAMERA PERFORMERS)

Section I covers the cost of on-camera talent -- the actors, spokespersons, and models who appear in the commercial.

The complexity of Section I depends entirely on whether your production is union (SAG-AFTRA) or non-union.

UNION TALENT (SAG-AFTRA)

SAG-AFTRA is the union representing on-camera performers in commercials. The AICP/SAG-AFTRA commercial contract governs the terms of employment for union talent, including session fees (the fee for the shooting day), holding fees (ongoing fees to restrict the talent from appearing in competing advertising), and residuals (usage payments based on how and where the commercial airs).

The basic SAG-AFTRA session rate (as of the most recent contract cycle in 2024-2025) for a principal performer in a commercial is approximately $965 for an 8-hour day, with overtime provisions beyond that. However, this is the floor. Many union performers negotiate above scale.

Beyond the session fee, the most significant talent cost on a union job is residuals and usage. When a commercial airs on television (broadcast or cable), the talent is entitled to additional payment for each use. These payments can accumulate significantly depending on the reach of the campaign. On a national television campaign running for 13 weeks, talent residuals can easily add $10,000 to $50,000 or more per principal performer, on top of the session fee.

Understanding usage is essential. In your budget, Section I should clearly delineate:

Session fees (the shoot day cost) Talent agent fees (typically 10 percent of session fees, paid on top of the session fee -- this is called an "agency commission" and it goes to the talent's representation) Pension and health contributions (approximately 18.5 to 21.5 percent on top of wages, paid to the SAG-AFTRA P&H fund) Fitting fees if applicable Audition fees if applicable

Usage and residuals are often handled separately from the production budget entirely. Many agency contracts specify that usage payments are the responsibility of the agency or the brand, not the production company. Clarify this before you bid.

NON-UNION TALENT

On non-union productions, talent rates are negotiated directly. There are no mandatory session fees, holding fees, or residual structures -- though you can and should still negotiate usage terms in your talent agreements.

Non-union talent rates vary widely. A background extra on a non-union shoot might earn $150 to $300 for the day. A principal performer might be negotiated at $500 to $2,500 for the day plus a flat fee for usage rights. Rates depend on the talent's profile, the usage, and the market.

The danger in non-union talent is assuming that because there is no union contract, there is no need for a formal agreement. This is wrong and potentially expensive. Every on-camera performer should sign a talent release that specifies what they are being paid, what the usage rights are (where the spot can run, for how long), and who owns those rights. A verbal agreement is not a contract.

BACKGROUND / EXTRAS

Background performers (extras) who appear in the commercial but are not principal performers are typically paid a flat daily rate. On non-union productions, that might be $150 to $300 per day. On union productions, the SAG-AFTRA background rate is lower than the principal rate but still has specific requirements.

SECTION J AND BEYOND: INSURANCE, POST-PRODUCTION, AND OTHER COSTS

SECTION J: INSURANCE

Insurance is non-negotiable on a commercial production. Agencies and brands require it, and it protects you.

General Liability Insurance. Most agencies require at least $1 million per occurrence and $2 million aggregate. This covers third-party property damage and bodily injury arising from your production. Cost: $300 to $1,200 per production depending on scope, duration, and activities.

Workers' Compensation. Required in every state for employees. If you are using a payroll service (which you should be -- more on this later), workers' comp is typically included in the payroll service's rate structure.

Auto Insurance. For any production vehicles. Typically covered under a commercial auto policy or the rental vehicle's coverage.

Equipment Insurance (Inland Marine). Coverage for camera and lighting gear you are renting. The rental house will tell you what coverage they require. Some rental houses will accept a certificate from your general liability carrier; others require a dedicated equipment policy.

Errors and Omissions (E&O). If your commercial will be broadcast nationally or distributed broadly, the agency or brand may require an E&O policy covering the content. This is more common in post-production deliverables but occasionally required at the production level.

Cast Insurance / Completion Bond. On larger or more complex productions, coverage for key talent illness or injury and coverage to ensure the production is completed. More common on film and TV; less common on standard commercials.

Budget insurance as a lump sum based on actual quotes, or use a percentage. Most experienced producers budget 0.5 to 1.5 percent of total production costs for insurance, depending on the nature of the production.

POST-PRODUCTION SECTIONS

The post-production sections of the AICP budget cover editing, visual effects, color grading, audio post-production, graphics and titles, and final delivery.

Editorial. The editor's fee and the edit suite rental (if applicable). On commercials, the production company often handles offline editorial, with the agency then taking the cut into their own finishing facility for final online work. Editor rates for commercial work: $600 to $1,500 per day non-union, depending on experience. Online editors, colorists, and finishing specialists typically work in specialized facilities with their own rate cards.

Color Grading (Color Correction). The process of adjusting the look of the footage in post. For a national commercial, expect to pay $1,500 to $5,000 for a half-day or full-day color session at a proper color house. For a smaller regional spot, a freelance colorist might charge $400 to $1,200.

Audio Post. Music licensing, sound design, VO recording, and audio mix. Audio post costs vary enormously based on what the spot requires. If you are licensing an existing song, that cost (which can range from a few thousand dollars for a small regional license to hundreds of thousands for a major song on a national campaign) needs to be in the budget. VO recording at a professional studio runs $150 to $400 per hour plus the talent's session fee. A final audio mix for a 30-second spot might run $500 to $1,500.

Visual Effects / Motion Graphics. Any CGI, compositing, tracking, or motion graphics work. This category has a wide range depending on complexity. Simple lower-thirds or a title card might cost $500 to $2,000. Complex VFX sequences can run $5,000 to $50,000 or more.

Telecine / Online / Finishing. The final technical polish: frame size conversion, formatting for specific delivery specs, quality control passes, and final output. Varies based on deliverable count and specifications.

THE GRAND TOTAL AND THE MARKUP

Once all sections are totaled, the AICP form calculates a "total production cost" (sometimes called net cost or below-the-line total). To this total, the production company adds its markup. This markup is often called the "production fee" or "overhead and profit." We cover this in detail in Chapter Seven, but briefly: the standard production company markup is 25 to 35 percent on the direct production costs. This markup covers the production company's overhead, management costs, and profit margin.

The marked-up total is what the agency receives as the bid price.

On top of this, many agencies apply their own mark-up or handling fee before presenting the number to the client. As the production company, you typically do not see this layer.

UNDERSTANDING THE TOP SHEET

Every AICP budget has a "top sheet" -- a summary page that presents the total for each section in a single view. The top sheet is what agency producers and creative directors review first. If your top sheet numbers look way out of line with market norms, that triggers scrutiny. We will discuss top-sheet strategy in Chapter Eight.

CHAPTER FIVE

Understanding Fringes and Payroll Taxes

Fringes are one of the most consistently misunderstood areas in commercial production budgeting. New producers routinely underestimate them or omit them entirely, which blows up cost reports and erodes margins. This chapter will make fringes clear once and for all.

WHAT ARE FRINGES?

Fringes is the umbrella term for the additional costs that an employer pays on top of a crew member's gross wage. When you pay someone $1,000 for a day of work, you do not simply write them a check for $1,000 and call it done. You owe additional payroll taxes and, in some cases, additional benefit contributions. These additional costs are fringes.

In a commercial production budget, fringes are almost always expressed as a percentage of gross wages. You calculate the total gross wages in a section, multiply by the fringe percentage, and that gives you the fringe cost.

The fringe percentage you use depends on whether the crew member is union or non-union, and on your specific circumstances.

NON-UNION FRINGES: THE BREAKDOWN

For non-union crew, fringes consist of mandatory payroll taxes. Here they are:

FICA (Federal Insurance Contributions Act) - Social Security. The employer's portion is 6.2 percent of gross wages, up to the Social Security wage base. In 2025, that wage base was $176,100. Once a crew member earns above this threshold in a calendar year, Social Security tax stops applying to additional wages. For most crew on a commercial (who are unlikely to hit the annual wage base on a single production), budget the full 6.2 percent.

Medicare. The employer's portion is 1.45 percent of gross wages, with no wage base cap.

Federal Unemployment Tax (FUTA). The employer pays 6 percent on the first $7,000 of each employee's wages per year, but receives a credit of up to 5.4 percent for state unemployment contributions, leaving an effective FUTA rate of 0.6 percent for most employers. On a per-production basis, if the crew member has not yet hit the $7,000 threshold for the calendar year (which is common for production workers who are paid per project), you owe FUTA.

State Unemployment Tax (SUTA). Rates vary by state and by the employer's experience rating (claims history). Rates typically range from 1.5 percent to 4 percent, though they can be higher for employers with high claims experience. In California (a major production state), the UI rate for new employers is 3.4 percent on the first $7,000 of wages. Budget 2 to 4 percent as a general range.

State Disability Insurance (SDI). Some states have mandatory SDI, which is typically employee-paid but in some states has an employer component. California, for example, has both employee and employer SDI components that have changed in recent years. Budget a small additional percentage (0.5 to 1 percent) as a buffer.

Workers' Compensation. If you are using a payroll service (which we strongly recommend), workers' comp is typically bundled into their rate. Workers' comp rates vary by job classification and state. For production crew in California, workers' comp rates can run 3 to 6 percent of wages depending on the role. Office-based roles are lower; high-risk roles like stunts or rigging are dramatically higher.

PUTTING IT TOGETHER: NON-UNION FRINGE RATE

Adding up the employer-side payroll taxes for non-union production:

Social Security: 6.2% Medicare: 1.45% FUTA (effective): 0.6% SUTA (estimated): 2.0 to 3.5% Workers' Compensation: 3.0 to 6.0%

Total non-union fringe estimate: approximately 13 to 18 percent

In the real world, most commercial producers working non-union budget fringes at 15 to 20 percent on crew wages. The exact number will depend on the state you are working in and the nature of the crew. We typically use 18 percent as our base non-union fringe estimate in California, which is enough to cover most situations without leaving significant exposure.

UNION FRINGES: A DIFFERENT ANIMAL

Union fringes are significantly higher than non-union fringes. In addition to the payroll taxes described above, union productions are required to contribute to union benefit funds -- specifically, pension and health (P&H) contributions.

For IATSE crew (camera, grip, electric, and other technical departments), the pension and health contribution rates are set by the applicable IATSE agreement. Rates vary by local and by contract year but are typically in the range of 18 to 24 percent on top of wages, on top of the payroll taxes.

For SAG-AFTRA talent, pension and health contributions are currently approximately 18.5 to 21.5 percent (the exact rate depends on the current contract and the compensation level).

Total fringe load on union talent: Payroll taxes (13 to 18%) plus SAG P&H (18.5 to 21.5%) = roughly 32 to 40 percent total fringe on gross talent wages.

Total fringe load on union IATSE crew: Payroll taxes plus IATSE P&H contributions = roughly 30 to 42 percent total fringe on gross crew wages, depending on the local and contract.

This is why union productions cost meaningfully more than non-union productions -- not just because union day rates are higher, but because the fringe burden on every wage dollar is substantially greater.

PAYROLL SERVICES: WHY YOU NEED ONE

If you are building and producing commercial work, you need to understand payroll services and, in most cases, use one.

A payroll service (companies like Entertainment Partners, Cast & Crew, Media Services, Wrapbook, and Greenslate are prominent examples in the production industry) handles the mechanics of paying your crew as W-2 employees: withholding taxes, making employer-side contributions, filing the appropriate tax forms, and managing workers' compensation. They charge for this service, typically as a percentage of gross payroll -- generally 1 to 3 percent for non-union, with additional fees for union fringes.

The alternative to using a payroll service is becoming your own payroll employer, which requires registering with each state where you employ workers, setting up payroll tax accounts, managing workers' comp policies, and filing quarterly and annual tax forms. For a small production company doing occasional work, this overhead is usually not worth it. Use a payroll service.

When you budget fringes, you should confirm with your payroll service what their total cost will be for a given crew and wage level. Some payroll services provide a rate card that bundles all taxes and their service fee into a single percentage. This is the easiest way to budget -- one number that covers everything.

HOW FRINGES APPEAR IN THE BUDGET

In the AICP budget, fringes are typically applied section by section. At the bottom of Section B (Shooting Crew), you will have a line that says something like "Fringes (18%)" and that percentage is applied to the total gross wages in the section. The same applies to Section A (prep and wrap crew) and to Section I (talent).

Some budgets show fringes broken out by specific tax category; others use a blended rate. Agency producers understand both approaches. If you are using a blended rate, be prepared to explain what it includes.

One important note: fringes do not apply to above-the-line creative fees paid to directors or EPs as flat fees in most cases. Directors are often paid as loan-outs (through a personal corporation or LLC), in which case the company issues a check to their loan-out entity, and the director/company is responsible for their own taxes. This arrangement is common for directors and EPs above a certain rate level. Clarify how your director is being paid and budget accordingly.

VENDOR INVOICES VS. CREW WAGES

Not everything in your budget is subject to fringes. Vendor invoices -- payments to rental houses, prop companies, catering, studios, and other businesses -- are not wages. They do not generate payroll tax liability. Only wages paid to individuals as employees (or to people who are not truly operating as independent contractors) are subject to fringes.

The distinction between an employee and an independent contractor is a source of significant legal risk in the production industry. The IRS and state tax authorities have strict tests for what constitutes a legitimate independent contractor relationship. In California, the Dynamex decision and AB5 made it significantly harder to classify workers as independent contractors. In most states, crew members who work regularly in the industry and are hired repeatedly for project work are generally considered employees for payroll purposes. Use a payroll service and pay people as W-2 employees.

CHAPTER SIX

Building Your First Budget From Scratch

Theory is important, but learning to budget is a hands-on process. In this chapter, we are going to build an actual budget from scratch for a real-world scenario: a one-day commercial shoot for a regional food brand.

THE SCENARIO

A regional organic grocery chain wants a 30-second commercial plus two 15- second cutdowns. The spot will run digitally (streaming, pre-roll, social) and on local cable television. The creative is: a warm, lifestyle-driven spot featuring a family preparing a meal together in their home kitchen, with a short outdoor scene in the backyard. It is talent-forward -- there are four on-camera performers (two adults, two children).

The agency has given a production budget guidance of $80,000 to $120,000. Your job is to build a competitive bid.

STEP ONE: READ THE CREATIVE BRIEF THOROUGHLY

Before you open a budget template, read everything. What does the spot actually require?

In this case: - One shoot day (home interior and backyard = one location or two?) - Four on-camera talent (two adults, two kids) - Kitchen meal prep scene (food styling required) - Backyard outdoor scene (natural light? supplemental lighting?) - Deliverables: one 30-second spot plus two 15-second cutdowns

Questions you need answered before you can bid accurately: - Is the kitchen a real home or does it need to be built/designed? - Are the talent union or non-union? - Who handles post-production -- the production company or the agency? - Are the two adults and two children principal performers throughout, or are some in the background? - Are there specific usage terms that affect talent costs?

For this example, assume: - Real home location (a scouts will find an appropriate house) - Non-union talent - Agency handles post-production (we deliver camera originals + an offline cut) - All four are principals - Digital and cable usage, 13 weeks

STEP TWO: BUILD OUT YOUR CREW LIST

Before you put numbers in the template, know who you need. List the crew:

> Director (you)
> DP
> 1st AC
> 2nd AC
> Gaffer
> Best Boy Electric
> Two Electricians
> Key Grip
> Best Boy Grip
> Sound Mixer
> Boom Operator
> Art Director
> Set Decorator
> Prop Stylist
> Food Stylist
> Wardrobe Stylist
> Hair/Makeup Artist
> 1st AD
> Production Coordinator
> 3 PAs
> Still Photographer (agency request)
> Production Manager (limited role -- this is a small shoot)

That is roughly 22 crew members on the shoot day.

STEP THREE: ESTABLISH RATES

In a non-union market for a regional job, reasonable day rates:

> Director (you): $3,500 shoot day, $1,500 prep days (you will likely have 3-4 prep days: scouts, casting, creative meetings)
> DP: $1,500/day
> 1st AC: $750/day + $50 kit
> 2nd AC: $500/day
> Gaffer: $900/day + $100 kit
> Best Boy Electric: $650/day
> Electrician x2: $450/day each
> Key Grip: $800/day + $100 kit
> Best Boy Grip: $600/day
> Sound Mixer: $850/day + $250 kit
> Boom Operator: $500/day
> Art Director: $900/day (prep and shoot)
> Set Decorator: $650/day
> Prop Stylist: $650/day + expenses
> Food Stylist: $900/day + expenses
> Wardrobe Stylist: $700/day + expenses
> HMU: $650/day + $75 kit
> 1st AD: $1,100/day
> Production Coordinator: $650/day
> PA x3: $300/day each
> Still Photographer: $900/day
> Production Manager: $750/day

STEP FOUR: ESTIMATE PREP AND WRAP DAYS

For this size project, a one-week pre-production schedule is realistic.

Section A (Prep and Wrap Labor):

> Your prep (Director): 4 days x $1,500 = $6,000
> Your wrap (Director): 1 day x $1,500 = $1,500
> DP scout: 1 day x $750 = $750 (location tech scout)
> Art Director prep: 3 days x $900 = $2,700
> Set Decorator prep: 2 days x $650 = $1,300
> Prop Stylist prep: 2 days x $650 = $1,300
> Food Stylist prep: 1 day x $900 = $900
> Wardrobe Stylist prep: 2 days x $700 = $1,400
> Production Coordinator prep: 5 days x $650 = $3,250
> Production Manager prep: 3 days x $750 = $2,250
> Wrap (Coordinator): 2 days x $650 = $1,300
>
> Section A Labor Subtotal: approximately $22,700
>
> Apply fringes at 18%: $22,700 x 0.18 = $4,086
> Section A Total: $26,786

STEP FIVE: BUILD SECTION B (SHOOT DAY CREW)

One shoot day. Rates from above:

> Director (you): $3,500
> DP: $1,500
> 1st AC: $750 + $50 kit = $800
> 2nd AC: $500
> Gaffer: $900 + $100 kit = $1,000
> Best Boy Electric: $650
> Electricians x2: $450 x 2 = $900
> Key Grip: $800 + $100 kit = $900
> Best Boy Grip: $600
> Sound Mixer: $850 + $250 kit = $1,100
> Boom Operator: $500
> Art Director: $900
> Set Decorator: $650
> Prop Stylist: $650
> Food Stylist: $900
> Wardrobe Stylist: $700
> HMU: $650 + $75 kit = $725
> 1st AD: $1,100
> Production Coordinator: $650
> PAs x3: $300 x 3 = $900
> Still Photographer: $900
> Production Manager: $750
>
> Section B Labor Subtotal: approximately $19,275
>
> Apply fringes at 18%: $19,275 x 0.18 = $3,470
> Section B Total: $22,745

STEP SIX: LOCATION AND TRAVEL (SECTION C)

Location fee (private home, one day): $2,500 Location Manager fee (includes 2 scout days + shoot day): 3 days x $800 = $2,400 Location permit: $350 Parking at location: $300 Parking for production vehicles: $400

> Section C Total: $5,950

STEP SEVEN: PROPS AND WARDROBE (SECTION D)

Prop purchases and rentals (kitchen items, food for background, personal props): $1,500 Food styling supplies (hero product, duplicate items for multiple takes): $2,500 Wardrobe purchases for four talent (adult and child wardrobe, multiple options): $2,000 Wardrobe expendables: $150 Prop Stylist expenses (mileage, small purchases): $300

> Section D Total: $6,450

STEP EIGHT: STUDIO AND EQUIPMENT (SECTION E)

Camera package (ARRI Alexa Mini or Sony FX9 package, including standard prime set): $1,800/day x 1 shoot day = $1,800 Plus 2-day rental period (prep and return): $1,800 x 1 additional day at 50% = $900 additional. Rental houses often charge a flat day rate; in this case, let's say $1,800 for the package. Additional lens rental (85mm or 135mm portrait lens): $200 Lighting package (HMI, LED, modifiers): $1,200/day x 1 = $1,200 Grip equipment (dolly, track, stands, flags): $800/day x 1 = $800 Video village / monitor cart: $350 Walkie talkies: $200 Generator: $350 (for exterior scene where interior lighting needs to be supplemented)

> Section E Total: $4,900

STEP NINE: MEDIA AND MISCELLANEOUS (SECTIONS F AND G)

Camera media (CFexpress cards for a day of shooting): $400 Hard drives for data backup (2 drives for three-copy backup): $250 Data management (DIT/loader doing end-of-day dump): included in 2nd AC cost

> Section F Total: $650

Craft service (22 crew + agency + clients = budget for 30 people x 2 days of pre-pro where catering needed + shoot day): For shoot day only, $20/person x 25 people = $500 Catering (breakfast + lunch for shoot day, 25 people x $40/meal x 2 meals): $2,000

Production supplies (tape, markers, paper, production forms): $200 Phone and miscellaneous communication: $150 Production truck / cargo van rental for grip/ electric: included in grip package

> Section G Total: $2,850

STEP TEN: DIRECTOR FEE (SECTION H)

The director fee section captures your above-the-line creative fee separately from the line producer / producer role. In this scenario, you are both directing and producing. You have already captured your prep days at a producer rate ($1,500/day) in Section A. The shoot day director fee of $3,500 is in Section B.

In this scenario, let's add an executive producer fee as well to account for the business development, client management, and overhead involved.

EP fee (flat): $2,500

> Section H Total: $2,500

STEP ELEVEN: TALENT (SECTION I)

Four principal performers, non-union, for one shoot day.

Adult talent x2: $1,200/day each x 1 day = $2,400 Child talent x2: $800/day each x 1 day = $1,600 (Child rates are lower than adult rates in non-union) Talent agent commissions (10% of session fees, if talent represented): $400 Fitting fees (wardrobe fitting before shoot day, 2 hours each x 4 talent): $400 flat

For a regional non-union job with no broadcast residuals structure, talent is typically hired with a flat buyout for a specified usage period. Budget for usage rights conversation with a lawyer or use a standard work-for-hire talent release.

> Section I Total: $4,800 (before usage negotiation)

STEP TWELVE: INSURANCE (SECTION J)

For a one-day shoot with four talent, a private home location, and a modest crew of 22:

General liability policy (per-production): $750 Workers' comp: covered through payroll service Equipment floater (the rental house may require this): $300

> Section J Total: $1,050

STEP THIRTEEN: ADDING IT ALL UP

> Section A (Pre-Production and Wrap): $26,786
> Section B (Shoot Crew): $22,745
> Section C (Locations and Travel): $5,950
> Section D (Props and Wardrobe): $6,450
> Section E (Studio and Equipment): $4,900
> Section F (Media): $650
> Section G (Miscellaneous): $2,850
> Section H (Director/EP Fees): $2,500
> Section I (Talent): $4,800
> Section J (Insurance): $1,050
>
> Total Direct Production Cost: $78,681

STEP FOURTEEN: APPLYING THE PRODUCTION FEE/MARKUP

> At 30% markup: $78,681 x 0.30 = $23,604
>
> Total Bid: $78,681 + $23,604 = $102,285

This comes in right in the middle of the agency's stated range of $80,000 to $120,000. It is a defensible, complete budget with appropriate margins.

You have a few levers: - If you need to come down, the most common areas to trim without compromising quality are crew rates (negotiate), equipment package (can you get by with a slightly leaner package?), and prep days. - If the agency comes back and asks you to add something (agency travel, more talent, a second location), you will be able to cost it accurately because your rate card is already established.

WHAT THIS EXERCISE TEACHES YOU

A few lessons from this walk-through:

Prep time is expensive and often overlooked. Section A in this example is $26,786 -- more than the shoot day crew cost. This is normal. It reflects the reality that the work of producing a commercial is mostly done before the camera rolls.

Fringes add a real cost. Adding 18% to the crew wages added roughly $7,500 to the budget. If you forget fringes, your cost report blows up at wrap.

Equipment is not the biggest cost. The equipment package in this example was about $4,900. The crew cost nearly five times as much. This is the reality of production: labor is the dominant cost.

A 30% markup is reasonable but not guaranteed. We will discuss markup strategy in Chapter Seven.

CHAPTER SEVEN

Pricing Yourself: Day Rates, Markups, and Production Fees

One of the most practical and most uncomfortable aspects of freelance commercial work is setting your own price. There is a persistent anxiety in this industry about charging too much (losing the job) and charging too little (losing money, or establishing a rate that becomes your ceiling). This chapter is about getting the pricing right.

UNDERSTANDING THE LAYERS OF COMMERCIAL PRODUCTION PRICING

Commercial production pricing operates at three distinct levels:

1. Your crew day rate (what you charge for your labor as an individual) 2. Your production fee or markup (what your production company adds to the total cost of the production) 3. Your director fee (if you are directing, this is compensation for your creative contribution, separate from your producer role)

If you are a solo freelance producer, you are primarily concerned with your day rate. If you are running a production company, you are concerned with all three.

CURRENT CREW DAY RATES: A MARKET-BY-MARKET REFERENCE

The following rates represent current (2025-2026) market norms for commercial production in the United States. These are non-union rates unless otherwise specified. Rates in the "Major Market" column apply to New York and Los Angeles. "Secondary Market" applies to Chicago, San Francisco Bay Area, Boston, Seattle, and Atlanta. "Regional" applies to smaller or mid-size cities.

All rates are for full shooting days. Prep days are typically negotiated at 50 to 75 percent of the shoot day rate for most crew, though some crew (particularly producers and coordinators who are doing the bulk of their work in pre-production) may be budgeted at their full rate for prep.

Director of Photography: Major Market: $1,500 to $3,500/day (experienced) Secondary Market: $1,000 to $2,200/day Regional: $700 to $1,500/day Union (IATSE 600): $2,200 to $4,500+/day

1st Assistant Camera: Major Market: $850 to $1,400/day Secondary Market: $650 to $1,100/day Regional: $500 to $800/day

2nd Assistant Camera: Major Market: $550 to $800/day Secondary Market: $400 to $650/day Regional: $300 to $500/day

Gaffer: Major Market: $950 to $1,600/day + kit Secondary Market: $700 to $1,200/day + kit Regional: $550 to $900/day + kit

Best Boy Electric: Major Market: $700 to $1,000/day Secondary Market: $550 to $800/day Regional: $400 to $650/day

Electrician: Major Market: $500 to $750/day Secondary Market: $400 to $600/day Regional: $300 to $500/day

Key Grip: Major Market: $900 to $1,500/day + kit Secondary Market: $700 to $1,100/day + kit Regional: $500 to $900/day + kit

Best Boy Grip: Major Market: $650 to $950/day Secondary Market: $500 to $750/day Regional: $400 to $600/day

Production Sound Mixer: Major Market: $1,000 to $1,800/day + kit ($250-500) Secondary Market: $750 to $1,300/day + kit Regional: $600 to $1,000/day + kit

Boom Operator: Major Market: $600 to $900/day Secondary Market: $450 to $700/day Regional: $350 to $550/day

Line Producer / Production Manager: Major Market: $1,200 to $2,200/day Secondary Market: $900 to $1,600/day Regional: $700 to $1,200/day

Production Coordinator: Major Market: $700 to $1,000/day Secondary Market: $550 to $800/day Regional: $400 to $650/day

Production Assistant: Major Market: $300 to $500/day Secondary Market: $250 to $400/day Regional: $200 to $350/day

1st Assistant Director: Major Market: $1,200 to $2,000/day Secondary Market: $900 to $1,500/day Regional: $700 to $1,100/day

Art Director / Production Designer: Major Market: $1,000 to $2,000/day Secondary Market: $750 to $1,400/day Regional: $600 to $1,000/day

Set Decorator: Major Market: $700 to $1,100/day Secondary Market: $550 to $900/day Regional: $400 to $700/day

Prop Stylist: Major Market: $700 to $1,200/day Secondary Market: $600 to $1,000/day Regional: $450 to $750/day

Hair/Makeup Artist (HMU): Major Market: $700 to $1,400/day Secondary Market: $550 to $1,000/day Regional: $400 to $750/day

Wardrobe Stylist: Major Market: $750 to $1,300/day Secondary Market: $600 to $1,000/day Regional: $450 to $800/day

Food Stylist: Major Market: $1,000 to $1,800/day Secondary Market: $800 to $1,400/day Regional: $600 to $1,000/day

Drone Operator (Licensed): All Markets: $1,000 to $2,500/day (usually includes equipment)

Steadicam Operator: Major Market: $1,200 to $2,200/day + rig Secondary Market: $900 to $1,600/day + rig

Note on kit fees: Most crew who own specialized equipment charge a daily kit rental fee in addition to their day rate. This is legitimate and normal. When budgeting, always ask what the kit fee is and include it.

UNION VS. NON-UNION: WHEN DOES IT MATTER?

Not all commercial work requires union crew. Many regional, direct-to-brand, and digital-first productions are fully non-union. Agency-produced national commercials, particularly those going on network television, are more likely to involve union requirements -- especially for on-camera talent, where SAG-AFTRA status often follows from the agency's or brand's preferences.

As a production company, you can choose to be union or non-union (or handle both, which is common). The key constraint: if you are an AICP/SAG-AFTRA signatory, you must use SAG-AFTRA performers for on-camera roles. If you are not, you have flexibility.

Being a SAG-AFTRA signatory does not automatically mean your behind-the-camera crew must be union. Camera, grip, and electric departments are typically represented by IATSE, which is a separate agreement from SAG-AFTRA. Some productions are SAG-AFTRA signatory for talent but use non-union crew. Some are fully union across all departments. Some are fully non-union. Know what you are and what the job requires.

DIRECTOR FEES: WHAT ARE YOU WORTH?

If you are a director who is starting to package your own work, pricing your director fee is one of the harder decisions you will make.

The director fee should reflect:

Your reel and experience level. New directors with limited commercial reels should expect to charge less as they build their portfolio. This is not forever -- it is a strategic investment in credits and relationships.

The production budget. On a $50,000 job, a $15,000 director fee would be disproportionate. On a $500,000 job, a $15,000 fee would be leaving money on the table. Director fees as a percentage of total production tend to run roughly 5 to 15 percent of the gross production cost.

The type of work. National broadcast campaigns pay more than regional digital spots. Prestige campaigns with strong creative may attract directors who accept below-market rates for the credit and reel value.

A practical framework: - Entry-level / no commercial reel: $1,500 to $5,000 flat for a one-day shoot - Mid-level / growing reel (2 to 5 years of commercial work): $5,000 to $20,000 depending on budget size - Established director (5 to 10+ years, solid agency relationships, award show credits): $20,000 to $75,000+ - Top-tier commercial director: $75,000 to $250,000+ on large campaigns

These are not rules -- they are ranges. Every job is different.

THE PRODUCTION FEE: YOUR COMPANY'S MARGIN

The production fee (or markup) is how your production company makes money. Without a production fee, you are simply billing out costs with no margin for overhead, risk, or profit.

Industry standard for commercial production markup is 25 to 35 percent applied to the total direct production costs. On larger jobs (over $200,000), markups sometimes compress toward 20 to 25 percent. On very small jobs, they may be higher to maintain minimum viability.

What does the markup cover?

Business development. The time spent finding jobs, writing treatments, building bids, pitching, and attending meetings -- most of which do not result in work. If you win 1 in 3 bids, two-thirds of your business development time is unpaid. The markup on won jobs has to cover the cost of lost bids.

Overhead. Your office, software, internet, equipment, subscriptions, insurance, legal, accounting, and any other fixed costs of operating a production company.

Error buffer. Productions cost more than the budget estimates. The markup provides a buffer for cost overruns that are small enough to absorb rather than go back to the client on.

Profit. What remains after overhead and error buffer is profit. You are running a business; profit is not a dirty word.

Do not be apologetic about your production fee. Agencies understand it. Every agency bidding a job knows that production companies apply a markup. The production fee is a standard, expected part of the bid structure.

SETTING YOUR RATE AS A FREELANCE PRODUCER

If you are a freelance producer or line producer hired by a production company, rather than running your own company, your rate is your primary compensation mechanism.

A few principles:

Know the market. The rate tables above give you a foundation. Know where you sit relative to your market and your experience level.

Charge for prep. Never let yourself be booked for "just the shoot day" unless the production genuinely has no prep whatsoever. A producer who shows up on shoot day without prep is not a producer -- they are a production assistant with a nicer title. Know your prep needs and charge for them.

Your day rate is not your hourly rate. A production day is typically 10 to 14 hours, sometimes more. When you quote a day rate, you are not committing to 8 hours and walking. Budget yourself accordingly.

Overtime provisions. On union productions, overtime is contractually defined (typically time-and-a-half after 8 or 10 hours, double time after 12 or 14). On non-union productions, overtime provisions are negotiated. Some non-union productions do not pay OT and instead rely on a generous day rate. Know what you are agreeing to.

CHAPTER EIGHT

How to Read a Bid Like an Agency Does

You will not always be on the production side. You may find yourself advising an agency, reviewing bids for a brand, or trying to understand why an agency passed on your bid. This chapter puts you on the other side of the table.

Agency producers who review commercial bids develop specific pattern- recognition skills over time. They know what a reasonable budget for a given scope of work looks like. They know what inflated line items look like. They know what a budget that is too low signals about the production company's capability. Here is what they are looking for.

THE TOP SHEET FIRST

Every experienced agency producer reads the top sheet first. The top sheet gives them a section-by-section summary: what percentage of the total budget is crew? Equipment? Talent? Post-production?

Typical top-sheet proportions for a mid-range commercial production (not including post, which is often handled separately):

Pre-production and wrap crew: 20 to 35% of below-the-line cost Shoot crew: 20 to 30% Location and travel: 10 to 20% Props, wardrobe, art: 8 to 15% Equipment: 8 to 15% Miscellaneous and insurance: 5 to 10%

If any section is dramatically out of proportion -- equipment at 40%, or crew at 60% -- that triggers a deeper look.

WHAT RAISES RED FLAGS

A budget that is dramatically lower than competing bids. This is not a good thing. A budget that is too low tells the agency one of three things: (1) the production company has not read the brief carefully, (2) they are planning to cut corners, or (3) they are going to over-run and come back for more money. None of these is reassuring. Agencies are not simply looking for the lowest price. They are looking for the best value and a producer they can trust to bring the project in on budget.

Missing line items. If crew categories that should clearly be present are absent (no sound, no art department for a styled product shot, no wardrobe for a talent-heavy spot), it either means the production company forgot them or is planning to bundle them inappropriately. Either way, it's a red flag.

Fringes missing or clearly too low. If a $300,000 production budget shows fringes of 5%, an experienced agency producer knows someone doesn't understand their costs. Fringes at 5% of wages is inadequate for almost any payroll scenario.

Equipment costs that don't match the creative. If the brief calls for a cinematic, high-production-value spot and the camera package is budgeted at $400 per day, the agency knows the production company is planning to use prosumer gear. Sometimes that is fine -- but the creative better match. If it doesn't, the mismatch is a red flag.

Vague or undefined line items. "Miscellaneous: $15,000" with no explanation is a red flag. Agencies want to know what they're paying for. Every significant line item should be identifiable and defensible.

Talent fees that don't match the usage. If the brief calls for national broadcast distribution and the talent budget shows $500 per person with no usage structure, the agency knows they are going to have talent problems downstream.

WHAT LOOKS GOOD

Completeness. A budget that clearly covers every aspect of the production signals that the producer has actually thought through the job. Agency producers appreciate thoroughness.

Realistic rates for the crew level. If you are bidding based on your local crew relationships and their rates are lower than LA rates, that is fine -- but be consistent. Don't mix below-market rates on some positions with above-market rates on others without a clear reason.

Clear assumptions. Including a brief set of notes or assumptions below the budget (or in a cover memo) that explains decisions is genuinely helpful. "Assumed two shoot days for the two-location script." "Talent rates are non- union buyout for 13 weeks digital distribution." This helps the agency understand your thinking and makes it easier to correct course if they need to revise the parameters.

Appropriate contingency or rounding. Many experienced producers build a 5 to 10 percent contingency into their budgets. Whether this is explicit (listed as a line item) or embedded in line items varies by the individual. Explicit contingency lines make it easier to negotiate -- "we can reduce the contingency to 5%" -- while embedded contingency is harder to cut but also harder to dispute.

A markup that is competitive but not desperate. A 35% production fee is not inherently more competitive than a 30% production fee in the agency's eyes. They understand that production companies have overhead. What they are actually evaluating is the total number and whether the work you are describing at that number can be accomplished. Do not compete on markup percentage. Compete on the quality of your plan.

WHEN THE AGENCY CALLS WITH QUESTIONS

If the agency calls after receiving your bid, it typically means one of two things: they are seriously interested and want to understand your thinking, or they want to push you to reduce the number.

If they want to understand your thinking, be prepared to walk through the budget section by section and explain every significant decision.

If they want to reduce the number, do not simply start cutting line items to accommodate. Instead, ask them where the gap is. Is there a specific section that feels high? Is there a budget target you are working toward? Then make strategic

recommendations: "We could reduce the shoot to one day and simplify the lighting approach -- here's what that would look like in the budget." Give them options with trade-offs, not just a reduced number.

Reducing the budget by removing line items without reducing scope is a path to losing money. If they want it cheaper, something has to give. Explain what.

CHAPTER NINE

Working Direct-to-Brand

If there is one chapter in this guide that will save you the most money and the most frustration, it is this one.

Direct-to-brand work -- commercial production where you deal directly with the company that has the product to sell, with no advertising agency in the middle -- is growing. Digital marketing has democratized content production. Many brands, particularly in the DTC (direct-to-consumer) space, the small and mid-size business category, and the regional company world, have discovered that they can hire production companies directly without going through an agency. They get more direct control, and they can often get work done more quickly.

For independent producers and small production companies, direct-to-brand work is a significant opportunity. It removes a layer of markup, gives you direct client contact, and can lead to longer-term relationships that generate repeat work. It also introduces a completely different set of challenges. This chapter covers both.

HOW DIRECT-TO-BRAND WORK IS DIFFERENT

When you work through an agency, the agency is a buffer between you and the brand. The agency producer speaks to you. The agency creative team has translated the brand's vision into a filmable concept. The agency knows the world of production -- they understand what a shooting schedule is, why there is a camera package fee, why you cannot add a second location for free three days before the shoot.

When you work direct-to-brand, there is no buffer. You are talking directly to the brand's marketing manager, content creator, CMO, or founder. This person almost certainly does not understand production. They know what they want the video to communicate. They may have strong opinions about what it should look like (often based on a competitor's

commercial they admire, or a consumer video they loved, or a vague aesthetic instinct). They do not know how a shoot day works, what a 1st AD does, why the location fee is what it is, or why the video they loved on YouTube would cost $250,000 to recreate at broadcast quality.

Your job in direct-to-brand work is not just to produce the video. It is to educate the client, set expectations, manage scope, and protect yourself financially. Failing at any of these is how you end up absorbing cost overruns that were never your fault.

MANAGING CLIENTS WHO DON'T UNDERSTAND PRODUCTION

The most important thing you can do at the start of a direct-to-brand engagement is have the "what production actually is" conversation before you write the budget. This conversation covers:

What a production day looks like. Walk the client through a typical day in real terms. "The crew arrives at 6:30am to begin loading in equipment. By 8am, we are lighting the first setup. We have approximately 8 to 10 setups planned for the day. Lunch is at noon. We wrap the location by 7pm and the crew wraps by 8pm. That is a 14-hour day for some departments." Clients who have never been on a commercial shoot are genuinely shocked by how long a day is and how many people are involved.

Why things cost what they cost. You do not need to disclose your markup or the internals of your budget, but you do need to help the client understand why a "simple" spot costs $80,000. The conversation usually goes something like: "For the spot we are describing, we will need approximately 18 crew members, a camera package, lighting and grip gear, a location fee, a full day of shoot, plus two to three weeks of production management. When you add up labor, equipment, and supporting costs at professional rates, $80,000 is the floor for this scope."

What the client gets and does not get. A common misunderstanding is that the video content you produce is infinitely usable forever in every context. If you are not a SAG-AFTRA signatory and you have talent in the spot, you need to specify where and for how long the content can be used. Even on non-union productions, on-camera talent has rights, and a proper talent agreement defines the scope of usage.

SETTING EXPECTATIONS IN WRITING

Every direct-to-brand engagement must begin with a written agreement before any work starts. Do not skip this step. Do not accept verbal agreements. Do not start pre-production on a handshake or a verbal promise of a check.

Your production agreement should include:

Scope of work. What exactly are you producing? How many deliverables? What format and resolution? What is the maximum length? Are there cutdowns? How many rounds of revision are included?

Production schedule and milestones. When does pre-production begin? When is the shoot? When is the first cut delivered? When are revisions due? When is the final delivery?

Budget and payment schedule. What is the total budget? When are payments due? The standard payment structure in commercial production is: one-third at agreement signing, one-third at the start of production, one-third at delivery. Some clients will push for a different structure. The important thing is that you have enough cash in hand to cover your production costs before you incur them. Do not self-finance a client's production.

Usage rights. Where can the finished content be used? What platforms? What territories? For how long? Usage rights are not just a talent concern -- the music in your spot, any licensed footage you use, and even architecture in certain jurisdictions has usage implications.

Revision and change process. How many rounds of revision are included in the quoted price? What happens if the client requests changes beyond that? This is where scope creep lives, and we will address it shortly.

Credit. Will your production company receive a credit? On commercial work, this is not always included (many brands and agencies do not want a production company credit on broadcast spots), but for direct-to-brand digital content, it is worth asking.

Cancellation and postponement. What happens if the client cancels after pre-production has begun? What if they postpone? Your agreement should specify that pre-production costs incurred up to that point are billable, and that postponements within a certain window trigger a rebooking fee.

THE SCOPE CREEP PROBLEM

Scope creep is the enemy of profitability in direct-to-brand work. It is also nearly universal. Here is how it happens:

You quote a 30-second brand spot. The client signs off. Pre-production begins. A week before the shoot, they mention that they'd also like to capture some social content. "Just a few quick BTS clips and maybe a 60-second version?" Two days before the shoot, they add three more key messages they want included. On the shoot day, they ask the crew to stay an extra hour to get some "bonus footage." After delivery, they ask for seven rounds of revision instead of the three included in the agreement.

Each of these additions has a cost. When they're scattered across the production process and communicated casually, it is easy for a new producer to absorb them in the name of keeping the client happy. By the end of the project, you have produced twice the amount of work you quoted and your margin has been wiped out.

The antidote to scope creep is clear documentation and clear communication.

At the scope expansion moment, you say: "We can absolutely do that. That's outside the scope we agreed on, so I'll send you a change order with the additional cost before we proceed. Sound good?" Then you send the change order. Most clients will not object when it is framed this way. They are not trying to steal from you -- they just do not know that their request has a cost. Your job is to educate them, professionally and clearly, every time.

A simple change order does not need to be complex: a one-page document describing the additional work, the additional cost, and the payment terms. Both parties sign. The work proceeds. Your budget is protected.

MANAGING THE REVISION PROCESS

Clients who have not been through a commercial production often do not understand what a "round of revision" means or why there is a limit on them.

Here is how we explain it to direct-to-brand clients:

"Your contract includes three rounds of revision for the edit. A round of revision means: you watch the current cut, you compile all your notes into a single feedback document, and you send them to us. We incorporate those notes and deliver a revised cut. That is one round. When we're in good creative alignment from the start, three rounds is plenty. If you send us notes in five separate emails over three days, I'll combine them into one round -- but I want you to know that's how we're counting it."

This framing helps. It tells the client exactly what they're getting, it sets up a process that works for your team, and it makes it clear (without being aggressive about it) that there is a defined scope.

When a client exhausts their included revisions, you invoice for additional revision time before the next round. Do this consistently. Once you absorb one extra revision round for free, the client learns that the limit is not real.

PRICING DIRECT-TO-BRAND WORK

Should you charge more or less for direct-to-brand work compared to agency work?

The arguments for charging more: - You are providing not just production, but production strategy, creative development, and client education - Managing a client who does not understand production takes more time and energy than managing an experienced agency producer - Scope creep risk is higher - The risk of non-payment or payment delays is higher without a large agency standing between you and the brand

The arguments for charging the same: - The work itself is the same - Your costs are the same

Our view: Direct-to-brand clients should pay at least the same as agency work, and often a premium is justified if the project involves significant creative development, client education, or a brand that is new to production. Build the time cost of client management into your production budget, either in expanded prep days for the producer/project manager or in a separate "creative development" line item.

GETTING PAID

Payment reliability is lower in direct-to-brand work than in agency work. Agencies have established payment processes and typically pay on net-30 terms after delivery. Direct-to-brand clients are more variable. Some pay quickly. Some are slow. Some will try to defer payment indefinitely.

Protect yourself:

Get a deposit before you start. We mentioned one-third at signing above. Never waive this. A client who will not pay a deposit before you incur any costs is a client who will be difficult about final payment.

Invoice on schedule. Do not wait for the client to remind you to invoice. As soon as a milestone is reached, send the invoice.

Define your net terms in the contract. "Net 15" means payment within 15 days of invoice. "Net 30" means 30 days. Net 15 to Net 30 is reasonable for direct-to-brand clients. If a client pushes for Net 60, push back.

Withhold final delivery until payment is complete. This is a standard industry practice. Do not deliver your final, broadcast-ready file until your final invoice is paid. Deliver an unwatermarked reference copy for approval, but hold the master file. The master file is your leverage.

Charge late fees. Your contract should specify a late fee for overdue invoices. 1.5 percent per month on the outstanding balance is standard. Most clients will not pay late if there is a late fee -- the fee itself is a deterrent.

THE BRAND THAT THINKS THEY CAN MAKE IT THEMSELVES

You will encounter brands that have received your quote, had sticker shock, and said some version of: "That seems like a lot. Can't we just do this in-house or hire a freelance videographer for a few hundred dollars?"

Sometimes the right answer is yes. If they truly just need a simple, unpolished video for social media, a solo videographer with a DSLR might serve them fine.

But often, what they want -- the brand film, the testimonial campaign, the product launch video -- requires professional production to achieve the quality they are imagining. Your job in this conversation is not to convince them that your price is fair (though it is). Your job is to help them understand the connection between investment and result.

The analogy we find useful: "You can get your logo designed on Fiverr for $50 or you can work with a brand identity designer for $5,000. Both produce a logo. The quality difference is real and it affects how your brand is perceived by your customers. The same is true for video."

Then be quiet and let them decide.

WHEN TO WALK AWAY

Not every direct-to-brand client is right for you. Walk away when:

The client cannot or will not pay a deposit. Non-negotiable.

The client has no realistic idea what their project costs and becomes hostile when educated. Some clients remain convinced that professional commercial production should cost $2,000 regardless of scope. You cannot educate a client who does not want to be educated.

The scope is undefined and the client won't commit to defining it. A production without a defined scope is a production without a defined cost. You will always lose.

The client has had bad experiences with multiple prior production companies and blames those companies for everything. Sometimes the production company is at fault. But when a client has had multiple bad experiences, the common denominator is usually the client. Trust your instincts.

The client wants to pay after distribution. "We'll pay you once we see how the campaign performs." No. That is not how professional production works. You are not a performance marketing partner. You are a production company. You get paid for making the thing, not for whether the thing sells product.

The direct-to-brand space is genuinely where many of the best long-term relationships in commercial production come from. A brand that has had a great experience with a production company will come back, often for years. But those relationships are built on a foundation of clear expectations, fair pricing, and mutual respect. Establish that from the first conversation and you will have clients who refer you to other clients.

CHAPTER TEN

The Bid-to-Actual Process

Winning a bid is the beginning, not the end. What happens after you win the job is where the real financial management happens.

THE AWARD AND THE COST CONFIRMATION

When an agency awards a job to your production company, the formal step is typically a cost confirmation or cost summary. This is a simplified version of the approved budget that the agency signs off on, confirming the agreed scope and budget. Both parties sign the cost confirmation before pre-production begins.

The cost confirmation is not just paperwork -- it is your baseline. It is the agreed-upon budget against which your actual costs will be measured. Every line item in the cost confirmation should match what you bid.

If during pre-production the agency requests changes that add cost (a script change that requires additional locations, additional talent, or additional prep days), you document those changes in a "recap" or addendum and get sign-off before incurring the additional cost. This is the change order process, and it applies equally to agency work and direct-to-brand work.

TRACKING ACTUALS

From the moment the job is awarded, you begin tracking actuals -- the real costs you are incurring against the budgeted amounts.

Every professional producer maintains a purchase order (PO) log or equivalent tracking document. Every time a vendor invoice is received, a crew member's payroll is confirmed, or an expense is incurred, it gets logged against the appropriate budget line item. At any given moment during the production, you should be able to tell your agency client exactly where the budget stands.

A simple actuals tracking sheet has the following columns: - Line item (matching the budget) - Budgeted amount - POs issued / commitments made - Actual invoices received - Variance (over or under budget)

Modern payroll services and production accounting software (such as Movie Magic Budgeting, EP Budgeting, or newer tools like Wrapbook and Greenslate) can integrate actuals tracking with your budget. Even if you are using a spreadsheet, maintain this discipline. Productions that do not track actuals in real time frequently discover cost overruns only after they can no longer do anything about them.

MANAGING OVERAGES: THE HARDEST CONVERSATION

An overage is when your actual costs exceed your budgeted amount. Overages happen on most productions. The question is whether they are manageable (within budget due to savings elsewhere) or material (requiring a difficult conversation with the client).

Categories of overages:

Overages caused by the production company. If your estimate was wrong -- you underestimated the number of crew, the equipment cost was higher than expected, the location scout took more days than budgeted -- this is your problem to solve. You eat the cost. You do not go back to the client for additional money when the error is yours.

Overages caused by scope changes. If the agency or brand requested additional work -- an extra shoot day, a new location, additional deliverables -- you document that change and invoice accordingly. These overages are the client's responsibility if properly communicated and approved.

Force majeure overages. If a location fell through and required a replacement at higher cost, if weather forced a shoot day postponement (with all the re-booking costs that entails), if a talent member became unavailable and required replacement -- these are circumstances neither party fully controlled. How they are handled depends on the relationship and the contract. In agency work, the agency often has some discretion to absorb small force majeure overages in the name of maintaining the production company relationship.

When you have an overage that you need to discuss with the client, do it early. Do not wait until the cost report is delivered post-wrap. As soon as you can see that a particular budget area is running over, communicate it. Agencies and brands can sometimes help find solutions (shift the budget from an area that's running under, approve a small additional amount, agree to simplify another element). None of those solutions are available if you wait until after the money is spent.

THE COST REPORT

At the end of every production, you deliver a cost report to the client. The cost report shows:

- The budgeted amount for each line item - The actual cost for each line item - The variance for each line item - Supporting documentation (copies of vendor invoices, payroll records, receipts for purchases)

The cost report is the final financial accounting of the production. It is the document that supports your final invoice to the agency or brand.

On most commercial productions, the agency holds a portion of the production cost in reserve until the cost report is delivered and verified. This holdback is typically 10 percent of the total budget. When the cost report is approved, the holdback is released. Turnaround time from delivery to holdback release is typically 30 to 60 days.

WRAPPING THE PRODUCTION

Wrap is the period immediately after the shoot and post-production are complete, during which you finalize all financial details. Wrap tasks include:

- Collecting all vendor invoices and reconciling against POs - Finalizing payroll (confirming actual hours and rates with the payroll service) - Processing expense reports for crew who incurred expenses - Returning rental equipment and closing out rental agreements - Completing the cost report - Generating the final invoice

Budget enough time for wrap. It is easily underestimated. A production that felt organized and on-budget during the shoot can have weeks of financial clean-up if receipts are scattered, invoices are late, or payroll has issues. Good wrap discipline is a mark of a professional producer.

CHAPTER ELEVEN

The Most Common Mistakes (and How to Avoid Them)

We have made most of these mistakes ourselves. We have also seen them made by talented, intelligent people who were simply operating without the right information. Here they are, in no particular order:

MISTAKE 1: FORGETTING FRINGES

Fringes are not optional. They are taxes. If you build a budget without them, you will discover them on the cost report when your payroll service tells you what you actually owe. At 18% of crew wages on a $100,000 labor budget, that is $18,000 you did not include. Your margin is gone.

How to avoid it: Always add a fringe calculation to every crew section of your budget. Do it as a habit, every time, without exception.

MISTAKE 2: USING SHOOT-DAY RATES FOR PREP DAYS

Some producers build Section A by applying the full shoot-day rate to every prep day for every crew member. This is usually too high (most crew accepts lower prep day rates) and can make your budget uncompetitively expensive. On the other hand, some producers assume prep is free and do not budget it at all. That is worse.

How to avoid it: Budget prep days at 50 to 75 percent of shoot-day rate for most crew. Confirm with each crew member what their prep rate is before you finalize the budget.

MISTAKE 3: UNDER-BUDGETING ART DEPARTMENT

Art direction is one of the highest-impact elements of a commercial and one of the most frequently under-budgeted. New producers often budget an art director for shoot day only and forget the 3 to 5 days of prep that are required to design, source, and prepare the look of the production.

How to avoid it: Always ask the art director what they need. Give them the creative brief and ask them to tell you their prep requirements. They will know better than you.

MISTAKE 4: FORGETTING KIT FEES

A crew member's day rate is not their all-in cost. Gaffers, key grips, sound mixers, HMU artists, and many other crew members charge a kit fee for their equipment, supplies, and expendables. Forgetting kit fees consistently leaves real money out of the budget.

How to avoid it: When you book crew, ask explicitly: "What is your day rate and what is your kit fee?" Add both to the budget.

MISTAKE 5: UNDERESTIMATING TALENT COSTS

On union productions, talent costs are a common shock for producers who are new to the union structure. Session fees are just the start. Pension and health contributions add 18 to 21 percent on top of wages. Agent commissions add 10 percent. Holding fees for ongoing campaigns can double the initial session fee over a 13-week cycle.

On non-union productions, talent costs are more predictable, but underestimating the number of talent, the number of fitting days, or the cost of transportation for talent is common.

How to avoid it: Budget talent in Section I with the same rigor you apply to crew. Include P&H, agent commissions, and any applicable usage or holding fees if union. Include multiple options and fitting fees if warranted.

MISTAKE 6: NOT CONFIRMING WHAT POST-PRODUCTION INCLUDES

The boundary between what the production company handles and what the agency handles in post-production is often ambiguous at the bid stage. Does your bid include offline editorial? Color grading? Audio mix? Graphics? Final delivery in the agency's required format?

If you bid $120,000 including a full offline edit and the agency expected you to deliver camera originals and nothing else, you have over-delivered without additional compensation. If the agency expected a finished spot and you budgeted for camera originals only, you have a gap.

How to avoid it: Clarify the post-production scope in writing before you submit the bid. Put your assumption in the bid notes: "Post-production budget includes offline editorial to picture lock. Color, online, audio mix, and graphics are not included in this bid."

MISTAKE 7: ACCEPTING VERBAL SCOPE CHANGES

During pre-production, things change. The agency's creative team has a new idea. The client wants to add a second product variant. Someone decides the script needs another scene. These changes are delivered verbally, in a call or a meeting, and if you are trying to be accommodating and keep the relationship positive, you might say "sure, we can handle that" and move on.

Then the change costs you $8,000 and you have no documentation to support a revised invoice.

How to avoid it: Every scope change gets a written change order. Even small ones. A two-sentence email confirming the change and the additional cost is better than nothing. A formal change order document is better. The habit of documenting everything protects everyone.

MISTAKE 8: STARTING PRODUCTION WITHOUT A DEPOSIT

We have mentioned this in the direct-to-brand context, but it applies everywhere. Never incur significant production costs without money in hand. If you have booked crew, signed a location agreement, ordered equipment, and paid catering deposits -- and then the client cancels the project -- you need the deposit to cover those sunk costs.

How to avoid it: Your contract should specify a non-refundable deposit (typically one-third of the total budget) that must be received before pre-production begins. No exceptions.

MISTAKE 9: CONFLATING THE DIRECTOR ROLE AND THE PRODUCER ROLE

If you are a director who is also producing your own commercial work, you are doing two jobs. Many director-producers undervalue one of the two roles -- usually the producer role -- and end up compensating themselves only for the creative work. The result is that the production company function is running at a loss.

How to avoid it: Structure your budget to pay for both roles. The director fee is compensation for creative work. The producer/EP fee (or your markup) is compensation for running the business. Both need to show up in the budget.

MISTAKE 10: NOT HAVING A PRODUCTION INSURANCE POLICY

Some new producers skip insurance on smaller jobs to reduce costs. This is a serious error. If something goes wrong -- a crew member is injured, a location is damaged, a piece of rented equipment is broken -- the financial exposure without insurance can be catastrophic.

How to avoid it: Budget insurance into every job, starting with your very first production. Work with an entertainment insurance broker (there are specialists in this area; Gallagher, Front Row, and DeWitt Stern are among the well-known ones) to get appropriate coverage for each production.

CHAPTER TWELVE

How to Find Work as a Producer or Filmmaker

Building a client base in commercial production is not dramatically different from building a client base in any other service business. It is a function of relationships, reputation, and consistency. Here is what works.

BUILD YOUR REEL STRATEGICALLY

If you are starting out and do not have commercial work on your reel, you need to get it. This sometimes means doing early work at below-market rates to build the portfolio. The strategic question is: what kind of work do you want to be known for?

Specialty DPs and directors in commercial work tend to develop a recognizable aesthetic or a domain expertise -- automotive work, food, beauty, lifestyle, corporate narrative, social-first content. Agencies and brands hire based on reel match: "We need a DP who understands food." If your reel shows food, you get the call. If your reel shows everything equally, you are a generalist, which is fine but less targeted.

Think about what you want to be the best in the world at within your market, and build toward it.

THE ROLE OF AGENCY RELATIONSHIPS

Commercial production work flows through agencies. Building direct relationships with agency producers and creative teams is the highest- leverage business development activity for a commercial production company.

Agency producers have standing lists of production companies they go to for bids. Getting on those lists requires being known, being trusted, and being recommended. The way you get on those lists:

Show up where agency people are. AICP hosts events. Local advertising clubs host events. Creative awards shows have networking opportunities. Festivals and festivals-adjacent parties are where agency people circulate. Be present. Be genuinely interesting to talk to. Do not be the person who only talks about themselves and hands out business cards.

Get referred by someone who is already on the list. If you have a relationship with a director, DP, or producer who is well-connected with agency work, ask them to make an introduction. A warm referral is worth ten cold outreach attempts.

Do great work on the jobs you have. The best business development in commercial production is delivering exceptional work and having the agency talk about you. Agency producers talk to each other. When your work is praised, word spreads.

DIRECT-TO-BRAND OUTREACH

If your goal is to build direct-to-brand relationships, the approach is different. You are targeting marketing directors and CMOs at companies that have both a content need and a budget.

The companies most likely to be good direct-to-brand clients: - DTC brands with active digital and social advertising - Regional businesses that have grown to the point of needing professional content but are not yet working with an agency - Non-profit organizations with grant funding for video production - Software and SaaS companies who need product videos, case studies, and brand films

Outreach approach: personalized, reference-driven, value-first. Do not send a cold email that is just "here's our reel, we'd love to work with you." Instead, research the company, identify a specific content need based on what you can observe publicly (their current social content is inconsistent or low-quality, they have a product launch coming, they've been covered in press but have no video presence), and write an email that speaks directly to that need.

PLATFORMS AND COMMUNITIES

Several online platforms have become relevant for finding commercial production work:

Production Motionboards and Job Boards. Various film industry job boards (Mandy.com, ProductionHUB, Staff Me Up) list production coordinator and crew positions that can introduce you to new production companies and clients.

Freelance Platforms. For commercial work, Contra, Pond5, and Tongal (for brands looking for content creators) are relevant. These skew toward smaller budgets but can be useful for building an early client base.

LinkedIn. An increasingly important platform for commercial production outreach, particularly for direct-to-brand work. A professional profile with a curated portfolio and consistent content about your production perspective can generate inbound leads.

Instagram. The portfolio platform of choice for visual creators. Directors, DPs, and production companies with strong Instagram presence get discovered this way. Agencies and brands browse Instagram when looking for production partners.

COMPETITIONS AND AWARDS

Submitting work to advertising and production award shows (Clio, One Show, AICP Show, local Addys) provides visibility and can open doors. Winning an award, or even being a finalist, gives you something to talk about and signals credibility to agencies. If you have work that you believe is genuinely good, enter it.

THE LONG GAME

Commercial production business development is slow. Most agencies are not going to invite you to bid until they have some basis for trust, which comes from recommendation or previous collaboration. Direct-to-brand clients often take multiple touchpoints before they are ready to engage.

The producers and production companies who build durable businesses in commercial production are the ones who show up consistently over time: doing excellent work, cultivating relationships without being transactional about it, and developing a point of view that makes them interesting and distinctive.

There is no shortcut.

CHAPTER THIRTEEN

What a Winning Bid Looks Like

We have talked about how agencies read bids and what raises red flags. Now let us describe what makes a bid actually win.

CREATIVE ALIGNMENT IS USUALLY THE DECIDING FACTOR

Budget competitiveness is necessary but rarely sufficient. On most commercial bids, the job goes to the production company whose creative treatment resonated most with the agency's vision for the spot. If your director's treatment makes the agency feel understood and excited, and your budget is in the right range, you win.

What makes a treatment resonate?

Specificity. Treatments that are full of general creative language ("we will bring a warm, human energy to this spot") without specific visual ideas, reference images, or concrete proposals for how the concept will be executed on screen feel vague and risk-averse. The agency's creative team has been living with this concept for weeks. They want to see that you have thought about it specifically.

Evidence that you understand the brand. Show that you have done your research -- you know the brand's existing visual language, you know their audience, and your proposal fits within (or deliberately and intelligently expands) their world.

A clear directorial perspective. What will make this spot yours rather than anyone else's? What is the visual logic? The pacing? The way you will handle performance? Directors who have a specific, recognizable perspective are more exciting to work with than those who simply propose to execute what is written.

Reference images that do work. A good set of reference images for a treatment is not just a mood board -- it is a visual argument. Each image should be there for a specific reason that you can articulate. Lens choice, light quality, color palette, casting type, set design approach.

THE BUDGET AS A PROOF OF COMPETENCE

A well-constructed budget signals that you know what you are doing. When an agency producer reads your budget and every line is present, every number is realistic, the fringes are correct, and the total is achievable for the scope of work described -- they feel confident.

That confidence translates into trust, and trust is what you need to win.

The budget is a reflection of your production capability. Submit sloppy or incomplete budgets and agencies assume your productions will be sloppy.

BEING EASY TO WORK WITH

Agencies talk about production companies in terms of what it is like to work with them. The technical quality of the work matters, but so does the experience of the collaboration. Companies that are responsive, clear, organized, and honest about problems are sought after.

The bid process is a preview of the working relationship. Respond to bid requests promptly. Ask smart clarifying questions that show you are thinking through the job. Deliver your bid on time, in the correct format, with a cover communication that is professional and engaged.

These seem like small things, but they add up. Agencies have options. Given two production companies with similar creative and similar budgets, the one that was easier and more pleasant to interact with during the bid process gets the job.

WHAT HAPPENS WHEN YOU LOSE

You will lose bids. Everyone does. When you lose, ask for feedback. Not all agencies will give it, but many will if you ask politely and make clear that you are asking to learn, not to argue.

When you get feedback, listen to it. Whether the issue was budget, creative, or something else entirely, the information is valuable.

Do not take bids personally. The agency often has constraints you do not know about: a pre-existing relationship with another production company, internal politics, a client who is demanding a specific look that happens to match a different bidder's reel. Sometimes you lose for reasons entirely outside your control. Keep bidding. Refine with each experience.

CHAPTER FOURTEEN

Quick-Start Kit and Checklist

This final chapter is designed to give you a set of practical tools and action items that you can use immediately.

THE ESSENTIAL TOOLKIT FOR A NEW COMMERCIAL PRODUCER

AICP Bid Form or equivalent commercial budget template. You need this before you can bid on anything. Search for "AICP bid form template" to find downloadable versions. Villager Pro and similar tools offer browser-based versions that eliminate the need to maintain a spreadsheet.

A rate card. Build and maintain your own reference document with the rates you use for each crew position in your market. Update it at least once per year. Share it with no one outside your company -- it is proprietary.

A production agreement template. Have a lawyer review a production agreement template that is appropriate for your market and the type of work you do. Do not use contracts from the internet without legal review. The investment in a proper contract review is worth many times its cost.

A talent release form. A simple one-page form that captures the talent's name, the production they appeared in, the compensation they received, and the scope of usage rights they are granting. Every on-camera performer signs one before or on the day of the shoot.

A change order template. A one-page document for documenting scope changes.

A cost report template. Matches your budget format line-by-line. This is where you track actuals throughout the production.

BEFORE YOU BID: CHECKLIST

Have you read the full creative brief and treatment request? Do you have answers to the key scope questions (shoot days, locations, union/non-union, post-production scope, deliverables)? Have you confirmed your crew rate card is current? Do you have relationships with the vendors you are budgeting? Have you built in fringes at the appropriate rate? Have you included all prep and wrap days in Section A? Have you included kit fees for all applicable crew? Have you included catering, craft service, and parking? Have you accounted for the director fee separately in Section H? Have you verified that your production fee/markup is applied correctly? Have you included insurance? Have you reviewed the top sheet -- do the proportions look right?

BEFORE PRODUCTION BEGINS: CHECKLIST

Signed cost confirmation received from agency or client? Deposit received (if direct-to-brand)? All crew booked and confirmed with signed deal memos? Location agreements signed and permits secured? Equipment reservations confirmed? Insurance certificate issued and delivered to all required parties? Talent booked, with deal memos or releases prepared? Catering confirmed for shoot day? Payroll service engaged and crew information submitted? Purchase order log started?

ON SHOOT DAY: CHECKLIST

Call sheet distributed? All crew and talent arrival times confirmed the night before? Craft service restocked and ready? Walkie talkies charged and distributed? Camera reports being maintained by 2nd AC? Media being downloaded and backed up at end of each card? Any cost changes being logged in real time? Agency and client contacts on set or available by phone? Call for wrap communicated clearly to all departments?

POST-WRAP: CHECKLIST

All vendor invoices received and logged? Payroll finalized and submitted to payroll service? Crew expense reports collected and processed? All rental equipment returned and closeout paperwork received? Cost report built and reconciled? Cost report submitted to agency or client? Final invoice submitted? Camera media and project files backed up to secure storage? Production files archived for future reference?

QUICK REFERENCE: FRINGE RATES

Non-union production (California): Social Security: 6.2% Medicare: 1.45% FUTA (effective): 0.6% SUTA (California, new employer): 3.4% Workers' Compensation: 3.0 to 6.0% (varies by classification) Total: approximately 15 to 18% Use 18% as a safe planning number.

SAG-AFTRA talent (union): Same payroll taxes as above plus: SAG-AFTRA P&H: approximately 18.5 to 21.5% Talent agent fee: 10% of session fee (on top of talent wages) Total fringe burden: approximately 35 to 40% on talent wages

IATSE crew (union): Same payroll taxes as above plus: IATSE P&H: approximately 18 to 24% depending on local Total fringe burden: approximately 32 to 42% on crew wages

QUICK REFERENCE: PRODUCTION FEE BENCHMARKS

Production budget under $50,000: 30 to 40% markup is defensible Production budget $50,000 to $150,000: 25 to 35% Production budget $150,000 to $400,000: 25 to 30% Production budget over $400,000: 20 to 25%

QUICK REFERENCE: CREW DAY RATE SUMMARY (NON-UNION, SECONDARY MARKET)

DP: $1,000 to $2,200 1st AC: $650 to $1,100 2nd AC: $400 to $650 Gaffer: $700 to $1,200 Best Boy Electric: $550 to $800 Electrician: $400 to $600 Key Grip: $700 to $1,100 Best Boy Grip: $500 to $750 Sound Mixer: $750 to $1,300 + kit Boom Operator:

$450 to $700 1st AD: $900 to $1,500 Production Coordinator: $550 to $800 PA: $250 to $400 Art Director: $750 to $1,400 HMU: $550 to $1,000 Wardrobe Stylist: $600 to $1,000 Food Stylist: $800 to $1,400 Line Producer / PM: $900 to $1,600

BUILDING YOUR FIRST BUDGET: THE SHORT VERSION

Step 1: Read the creative brief thoroughly. Ask all your scope questions. Step 2: List every crew member you need. Establish their rates. Step 3: Build Section A: calculate prep and wrap days for each crew member. Step 4: Build Section B: shoot day rates for all crew. Step 5: Add fringes to Sections A and B. Step 6: Build Section C: location fees, permits, travel. Step 7: Build Section D: props, wardrobe, food. Step 8: Build Section E: equipment packages (get actual quotes). Step 9: Build Sections F and G: media, craft service, catering, misc. Step 10: Build Section H: director and EP fees. Step 11: Build Section I: talent, including P&H if union. Step 12: Build Section J: insurance. Step 13: Total all sections to get total direct production cost. Step 14: Apply your production fee/ markup (25 to 35%). Step 15: Review the top sheet. Does it make sense? Step 16: Write your bid notes/assumptions. Step 17: Submit on time.

KEY PRINCIPLES TO CARRY WITH YOU

Fringes are not optional. Add them every time. Prep time is real work. Budget it every time. Every scope change needs a change order. Every time. Get the deposit before you start. Every time. Your markup is not a dirty word. It is how you stay in business. A lower bid is not always a competitive bid. Don't race to the bottom. Clear communication prevents most problems. Start early, be specific. Build relationships before you need them. The commercial world is small.

CHAPTER FIFTEEN

A Note on Villager Pro

If you have gotten this far, you know how much goes into building a proper commercial budget. The math is manageable. The format is learnable. The rates and fringe structures become second nature over time. But the spreadsheet -- the actual mechanics of maintaining an AICP-format budget, calculating fringes automatically, tracking actuals against bids, and generating the reports an agency expects -- is tedious work that pulls you away from the actual job of producing.

We built Villager Pro to handle the mechanical parts of commercial budgeting so producers can focus on the decisions. It is a browser-based budgeting tool designed specifically for the AICP format, with built-in fringe calculations, a structure that matches the sections described in this guide, and enough flexibility to handle everything from a $15,000 regional spot to a multi-day national campaign. If you want to skip the spreadsheet and get straight to producing, you can find it at villagerpro.io.

END OF GUIDE

Your First Commercial Budget: The Working Producer's Guide to AICP Published by Villager Pro | villagerpro.io